



The Better Policy Project

The Prudent Risk Management Approach to Macroeconomic Policy:

Measures of Underlying Inflation – one of the unobserved variables that present significant uncertainty

The Better Policy Project Team
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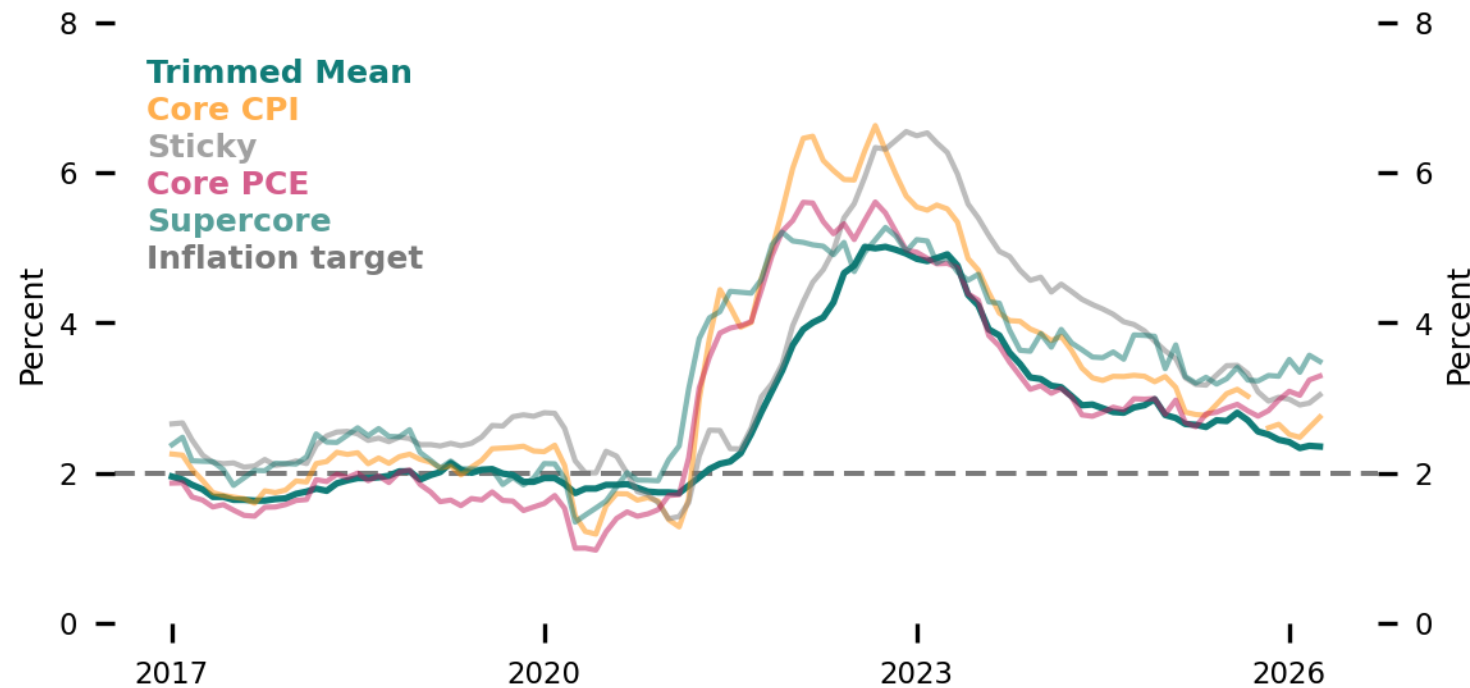
What is the best measure of underlying inflation?

- Core inflation?
 - Super core inflation?
 - Median inflation?
 - Trimmed mean ?
 - Wage inflation?
 - Trend inflation?
 - Sticky price inflation?
-
- What is the best measure for an economist?



New Fed Chairman Kevin Warsh says they should focus on trimmed mean inflation

- Coincidentally it is the one closest to the Fed's target
- Was it a good guide for monetary policy during the pandemic?





New Fed Chairman Kevin Warsh would be an example of a Board member with Case B views

His case:

- **For looking at Trimmed Mean Inflation:** He believes this filters out short-term spikes caused by geopolitics or tariffs
- **The AI Disinflation Theory:** Warsh has argued that the AI boom would boost worker productivity enough to keep inflation naturally low, which could give the Fed room to cut interest rates.
- **Note:** many different ways to think about the macroeconomic impact of AI – short vs longer-run effects, inflationary vs disinflationary etc.



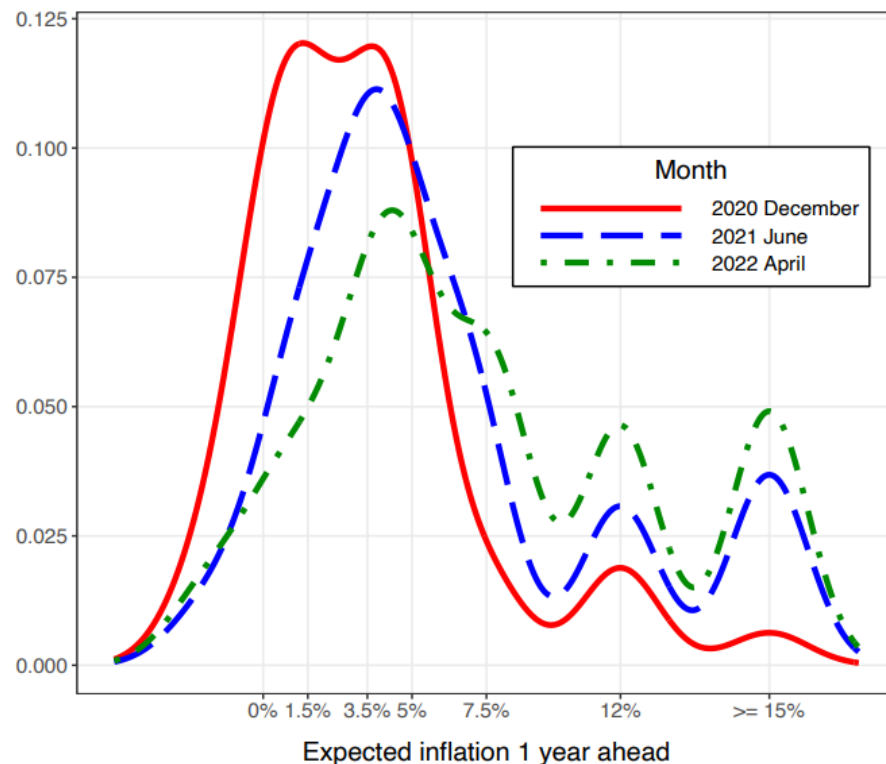
Keep in mind for relevant scenarios later. As staff, we don't necessarily need to believe in the scenario ourselves. They just need to be defensible within reason. Part of our job is to support policymakers make as much sense as possible.



Why statistical measures are a poor guide?

- The distribution matters!
- You want to pay attention to the jumpers not discard them. There can be valuable information at the tails of distributions.

Figure 3. The Distribution of U.S. Household Survey Inflation Expectations Through 2021–22



Notes: Data from the University of Michigan Surveys of Consumers household expectations for 1-year ahead expected inflation.

“In 2021, the key was to look beyond the measure of central tendency from household surveys and to focus on measures of disagreement” – (Reis, 2024)

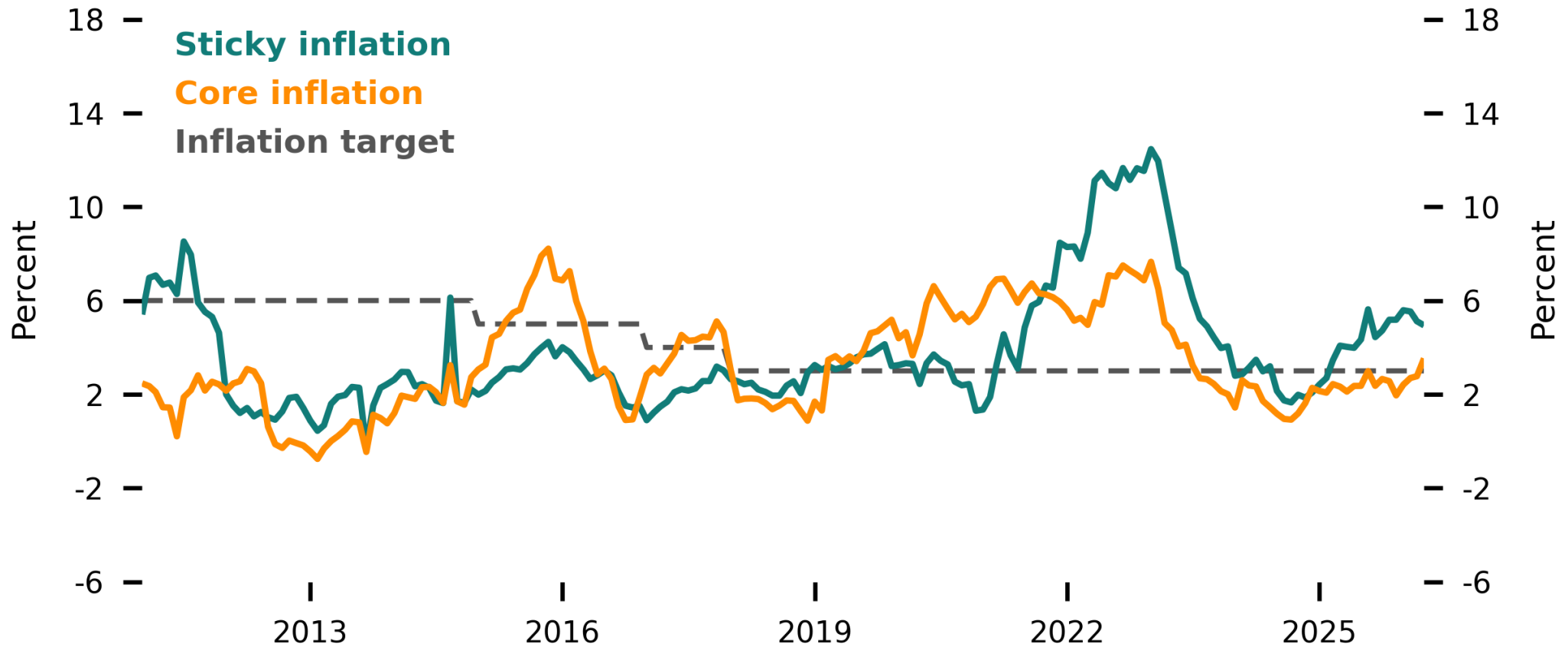


The winner is....sticky/flexible price inflation.

- What are sticky and flexible prices?
 - Developed by the Atlanta Fed
 - Sticky = infrequently set prices (more than ~4 months)
 - Flexible = frequently set prices (less than ~4 months)
- Why are sticky prices useful?
 - Pre-defined conceptually without statistical/modeling manipulation
 - Most direct way to observe inflation expectations in price setting behavior
 - Flexible prices are also informative – you almost never see core inflation plotted with non-core inflation. For us, we would always tell the inflation story using both measures.

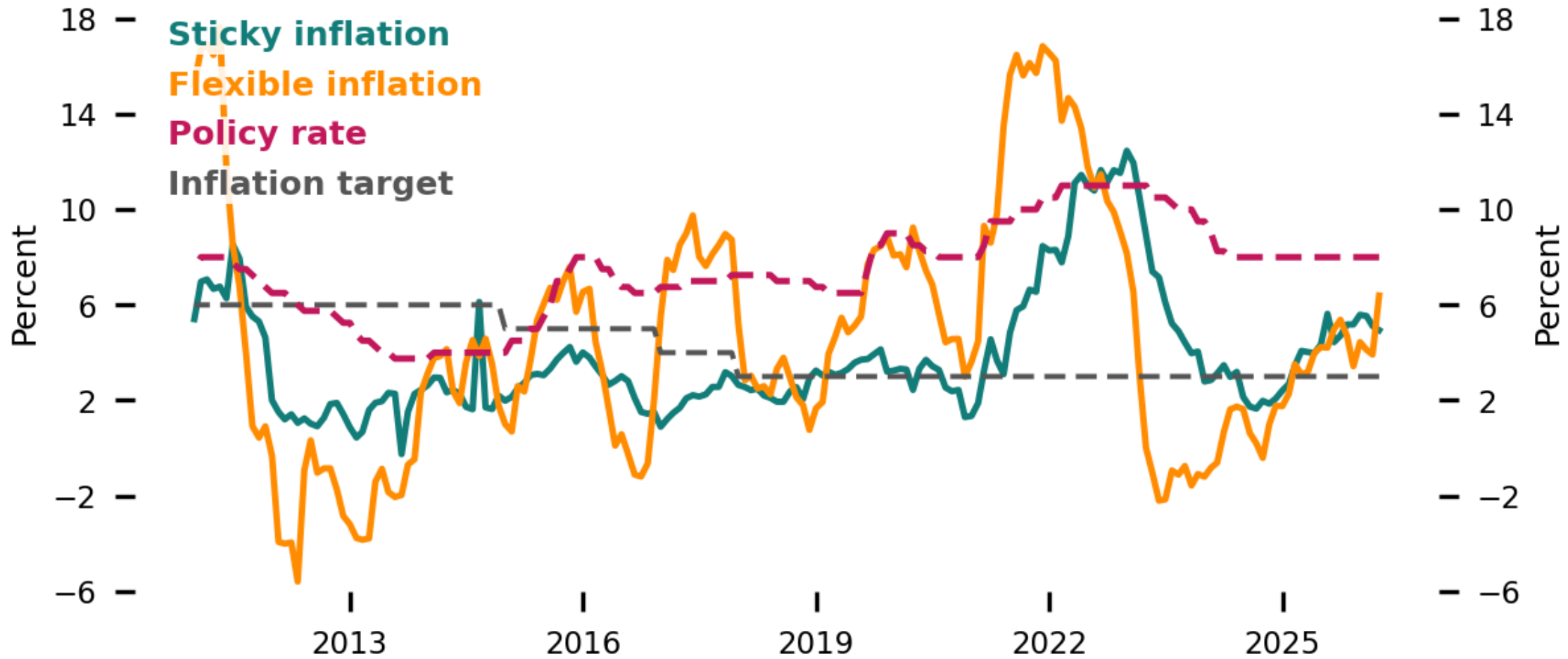


Sticky Price Inflation Results (Georgia)





Flexible and Sticky Price Inflation Framework (Georgia)





Endogenous Policy Credibility Process

- Will discuss later...